

Reform Criminal Liability System to Ensure Quality Independent Directors.¹

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¹ This is a working draft of an ongoing research on the topic. The paper is submitted for panel discussion and feedback. Views expressed are solely of the author and do not in any way reflect that of either the Supreme Court of India or of The Hon'ble Chief Justice of India.

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Abstract

An emerging system like ours is often subject to inconveniences that arise when the regulatory schema does not keep pace with the economic and social changes. Law and policy must keep abreast. One such question which often surfaces is that of Independent Directors and the criminal liability imposed on them for the offences or mischief of the company. There is enough evidence to support that the one biggest deterrent to good and capable Independent Directors is the fear of criminal prosecution. The examples of Satyam, Nagarjuna Finance and Union Carbide have only led to an escalation in the debate.

Corporate Governance is chiefly understood as activism of the Independent Directors as the representatives of the conscience and mouthpiece of the investing public. While this hallowed picture may not be completely true, the reality stands on a very disturbing footing. The law, supposed to be the harbinger and facilitator of change, imposes an archaic and indiscriminate criminal liability upon the Independent Directors.

The aim of this paper is to understand the legal and implementation concerns that surround the controversy. There have been interesting submissions in the form of draft guidelines and model laws on the intertwined issues of director liability, whistleblower policy, indemnity insurance, etc. The paper aims to consider and analyze them so as to bring out the ones most suitable. Nevertheless, it is also understood that this is a subjective problem and attachment of liability must be determined on a case to case basis. The author ends with certain moot recommendations.

1. Introduction

“Shareholders are stupid and impertinent- stupid because they give their money to somebody else without any effective control over what this person is doing with it, and impertinent because they ask for a dividend as a reward for their stupidity.”²

These are the famous words of a German banker of the early twentieth century. Corporate Governance is a complex problem of governing the corporate body in a way that balances the freedom to the entrepreneur and protection of the shareholders and other stakeholders. According to one of the most cited definitions, “Corporate Governance deals with the ways in which the suppliers of finance to corporations assure themselves of getting a return on their investment”³. Thus, we realize that in order to maintain a steady and encouraging flow of finance the corporations must act more transparently and safeguards must be in place to prevent any loss or misuse of investment. Independent Directors are an effective check on the activities of the Board. They are invited purely for their integrity, special skills and experience and represent the conscience of the investing public. A company can tap the bank of talented individuals such as scientists, engineers, lawyers, professors and a host of academics and experts to sit on its board as an independent director.⁴

The issue that haunts the corporate world and the investors is their credibility and actual independence. It is important to discuss this in the light of the recent Satyam debacle⁵ and the Nagarjuna Finance Case. Nimesh Kampani, Chairman of JM Financial, AP Kurian, Chairman of the Association of Mutual Funds in India and Minoo Shroff, Former Chairman, Raymond Enterprises (all ex- independent directors of Nagarjuna Finance) face charges of criminal conduct under the Indian Penal Court and the Andhra Pradesh

² Carl Fuerstenberg (1850-1933). Baums, T. and Scott, K.E. (2005), *Taking Shareholder Protection Seriously? Corporate Governance in the US and Germany* in American Journal of Comparative Law, vol 53, Page 31.

³ Shleifer, A. and Vishny, R., *A Survey of Corporate Governance*, Journal Of Finance (1997), vol 52, Page 737.

⁴ Ramanujam, T.C.A. *Independent directors and vicarious liability*, Available at <http://www.thehindubusinessline.com/bline/2005/10/13/stories/2005101300670800.htm>, Accessed on , 2010.

⁵ The criminal liability imposed upon the Independent Directors of Satyam.

Protection of Depositors of Financial Establishments Act simply because the company could not repay its public deposits.⁶

An interesting perspective has been added to the debate with the decision on and “resurfacing” of the Union Carbide industrial disaster case where Mr. Keshub Mahindra along with seven others was indicted under Sections 304-A⁷, 304-II⁸, 336, 337 and 338⁹ of the Indian Penal Code.¹⁰ Interestingly, Mr. Mahindra was a non executive Chairman of Union Carbide India when the tragedy took place. This has raised alarm bells in the industry where Independent Directors feel apprehensive of meeting a similar fate.¹¹

Chakrabarti, Subramanian and Tung refer to the BSE data on resignations by Independent Directors in their study on the Independent Directors and firm value.¹² The facts have also been widely reported by sections of the media. Questions have been raised as to the independence of and confidence among persons holding positions as Independent Directors.

The paper shall examine the above legal and regulatory questions that haunt the Indian corporations. The Second part shall deal with the criminal liability and examine how it is imposed under the current regulatory jurisprudence in India. The Third part deals with the specific criticisms of the system and shall also analyze the recommendations from various sources and forward certain conclusions.

2. Criminal Liability: Hindrance to independence.

a. The Jurisprudence of Criminal Liability in the Corporate Regulations in India.

Companies are governed by a plethora of legislations which are often overlapping and confusing. We are concerned with the criminal liability that most of these legislations

⁶ *Independent Director's Liability*. Published on Sat, May 02, 2009, Updated at Mon, May 04, 2009 Source : CNBC-TV18. Available at <http://www.moneycontrol.com/india/news/management/independent-directors-liability/395900/0>

⁷ Causing death by negligence

⁸ Culpable homicide not amounting to murder

⁹ Gross negligence

¹⁰ *Keshub Mahindra, 7 others indicted in Bhopal Gas case*. Economic Times, 7th June 2010. Available at <http://economictimes.indiatimes.com/news/politics/nation/Keshub-Mahindra-7-others-convicted-in-Bhopal-gas-case/articleshow/6018908.cms>

¹¹ *Independent Directors Back Parekh*, Times Business June 23rd 2010. Times of India, Mumbai Edition.

¹² Chakrabarti, R., Subramanian, K. V., Tung, F., *Independent Directors and Firm Value: Evidence from an emerging market*.

impose on directors of the company in default, regardless of whether he was, actively or because of negligence, involved in the particular act or omission of the company.

Examples of such laws include contraventions of Securities Contracts (Regulation) Act of 1956¹³, Employee State Insurance Act, Negotiable Instruments Act, the Direct and Indirect Tax Laws, Factories Act, Money Laundering Act, the Environment Protection laws, etc. As an example of the archaic laws, a Director may be held liable in case the factory is not whitewashed every year or there are not enough spittoons for the workers.¹⁴ Directors may also be liable in case the cheque issued by the company bounces or in case of default of any regulatory requirement under any of the complex labor or environment laws.

The Companies Act, 1956, recognizes the concept of *officer-in-default* and includes only the whole-time directors in the definition¹⁵. But when it comes to leveling a criminal charge, regulators and prosecutors play safe and accuse every director connected with a company.¹⁶

The law does distinguish between executive and non executive directors but the position of independent directors and their liability has not yet been clearly defined. What we do see as a matter of reality is that very often complainants file cases against the entire board, which include the non-executive directors who are also the independent directors, so everyone gets chased.¹⁷ Mr. Vasani is extremely critical of the criminal justice system in the country and emphasizes the following- *Firstly*, although the administration is duty bound to apply its mind while framing charges and accusing the persons, they act mechanically and rope in maximum number of persons. *Secondly*, the magistrates who are generally poorly paid, get some good pleasure by getting some of the top most industrialists to their court, this happens in several cases just out of sheer vengeance that I can summon anyone to my court, they would like to charge the entire board with criminal

¹³ Section 23(2) - Imprisonment up to 10 years or fine up to 25 years or both.

¹⁴ Contraventions under the Factories Act attract either imprisonment or fine or both.

¹⁵ Section 5

¹⁶ Umarji, M.R. (Chief Legal Advisor of IBA), *Shield independent directors from hasty criminal prosecution*. Available at <http://economictimes.indiatimes.com/Opinion/Money--Banking/Shield-independent-directors-from-hasty-criminal-prosecution/articleshow/4461575.cms> Accessed on 29 April 2009.

¹⁷ Amit Desai, Advocate. *Independent directors' liability*. Published on Sat, May 02, 2009 at 15:11 , Updated at Mon, May 04, 2009 at 13:43 Source : CNBC-TV18. Available at <http://www.moneycontrol.com/india/news/management/independent-directors-liability/395900/0>

liability. *Thirdly*, Section 201 of the Companies Act doesn't allow the company to give a complete indemnity to the non-executive directors and independent directors in defending the legal prosecution. Unlike in the US, where a very comprehensive indemnity bond is offered by the company for the lifetime that if any time in future, the director is subjected to any kind of liability, the company will take care of all expenses.¹⁸

b. How is it a hindrance to expectation of independence?

The general expectation that once the board has an independent director, he would take care of all the governance issues, is far from truth.¹⁹ *Firstly*, the reality is that the modern corporations are so complex that the directors who come to attend the board meetings have limited ability to examine what is going on in the company. *Secondly*, one cannot expect a board, which meets once in two months, to find out everything about the company.²⁰ *Thirdly*, often Independent Directors do not know whether they should ask particular details at the Board Meeting because then they would be persons with knowledge and may be held liable. They also resist interfering too much into the working of the Board because that may create a feeling of hostility within the Board, an unwanted situation.

Independent directors are now getting overtly cautious about taking up responsibility as they are unable to voice their opinion against the founders' decision.²¹ The question now is as to whether there is a need to distinguish and reduce the liability of Independent Directors under the provisions of various laws.

3. Criticism and Recommendations

a. Criticisms

An analysis of the legal and regulatory regime and the insights developed through case studies, bring out the following defects in the system:

¹⁸ Bharat Vasani, General Counsel, Tata Group. *Independent directors' liability*. Published on Sat, May 02, 2009, Updated at Mon, May 04, 2009 Source : CNBC-TV18. Available at <http://www.moneycontrol.com/india/news/management/independent-directors-liability/395900/0>

¹⁹ Id

²⁰ Id

²¹ *Reputation at stake? 340 independent directors quit in 2009*, 14 May 2009. available at <http://economictimes.indiatimes.com/News/News-By-Industry/Jobs/Reputation-at-stake-340-independent-directors-quit-in-2009/articleshow/4529901.cms>

- i. The Satyam and Bhopal episodes clearly depict that lack of institutional incentives for Independent Directors. The broad wordings of the law, for which the legislators often pride themselves, have shown a rare kickback. Terms like “every person”, “persons responsible for”, “persons in charge of”, “persons with the knowledge or on whom knowledge may be assumed” are words that clearly show the insensitivity of the legal schema.
- ii. The imposition of liability is clearly without the demarcation of real responsibility. The concept of a Key Managerial Person, along with a clearly marked list of persons who shall be held in such positions is still missing from the law.
- iii. As Mr. Vasani points out, the flaw is not just with the law but with the investigating and judicial cadre too. The eagerness to keep themselves in the clear results in roping in of the entire board. This includes the Independent Directors who are mostly persons without, or with tailored, knowledge. But till the process of investigation and framing of charges and the subsequent litigation, the Independent Director loses all his reputation and, often, even his liberty.
- iv. There is a fallacy even in the proposition that Independent Directors must be kept informed of the true nature and standing of the company’s position on all key aspects. These Independent Directors, though armed with knowledge, may not be able to or would not like to interfere with the working of the board for reasons mentioned above. So, either they must quit or be a whistleblower to avoid any liability on them in case there is some mischief discovered.
- v. This consequentially leads to the last of the criticisms, the lacuna caused by absence of any form of policy or green paper on whistleblowers.

b. Recommendations

There were a number of draft guidelines submitted by various organizations, including the Institute of Company Secretaries of India²², The CII Report²³, The Voluntary Guidelines

²² Institute of Company Secretaries of India, ICSI Recommendations to Strengthen Corporate Governance Framework (December 2009), available at http://www.mca.gov.in/Ministry/latestnews/ICSI_Recommendations_Book_8dec2009.pdf.

²³ Naresh Chandra, Report of the CII Task Force on Corporate Governance (November 2009), available at http://www.mca.gov.in/Ministry/latestnews/Draft_Report_NareshChandra_CII.pdf.

of 2009 by the Ministry of Corporate Affairs²⁴ and the Companies Bill of 2009, all have something to say on Independent Directors and their responsibility, independence and protection. There is unanimity on the fact that we need to identify Independent Directors as separate from executive directors in terms of the liability under various laws. As of today, the Companies Act has nothing to say on appointment, duties, etc of an Independent Director. That is exclusively handled by SEBI through the Listing Agreement. The Companies Bill of 2009 is set to change that, as and when it is passed and notified.

The following recommendations are put forward:

- i. There should be a clear letter of appointment to the Independent Director enumerating the responsibilities, terms of appointment, powers, liability and D & O liability insurance,
- ii. To prevent promoters from appointing only Independent Directors of their choice or liking, a Nomination Committee consisting of a majority of Independent Directors must be constituted to appoint Independent Directors. This may be on the lines of the New York Stock Exchange Listing Rules where it has been made mandatory.
- iii. There needs to be a change at the very base and in the “mother legislation” so to speak, which must recognize the institution of Independent Directors as a separate cadre, for the purposes of criminal liability.
- iv. There needs to be a shift in the mindset of the judiciary, the investigating and police officials. They must be able to analyze and judge the distinction. An Independent Director really should be an ally to the investigators rather than the culprit.
- v. There must be certain minimum qualifications in place for a person to be eligible to be an Independent Director. These may be technical, experienced based, etc.

²⁴ Ministry of Corporate Affairs, Government of India, Corporate Governance Voluntary Guidelines 2009 (December 2009), available at http://www.mca.gov.in/Ministry/latestnews/CG_Voluntary_Guidelines_2009_24dec2009.pdf [hereinafter the Voluntary Guidelines].

- vi. The Voluntary Guidelines issued by the Ministry of Corporate Affairs can be made mandatory. They provide a comprehensive draft that has received general consensus.
- vii. Whistleblower legislation must be in place, to provide a sort of bargaining power to the upright Independent Director in case he detects some mischief and is not heard by the board.
- viii. Adequate participation of the Independent Director must be ensured for him to have a clear picture of the working of the company. This maybe ensured through his remuneration and/or terms of employment linked to his attendance at and participation in the board meeting.
- ix. The concept of a Key Managerial Person must be clearly defined. Section 5 of the Companies Act, 1956 has become too vague and is, supposedly, the root cause of the whole controversy in a way.
- x. Finally, the whole concept of independence is one that needs to be the mindset. Corporations must realize, even in a predominantly family owned business system like ours that active participation of qualified and capable persons at the board level shall be in the interest of both the shareholders and the “family” that controls.

4. Conclusion

CII has recommended that the liabilities of independent directors be distinguished and made less onerous than liabilities of the executive directors.²⁵ Further, there is a shortage of good independent directors in the country and the Companies Bill 2009 should ensure that capable people come forward to assume duties of independent directors without fear and should not be held "vicariously" responsible for a criminal offence.²⁶

There are over 300 legislations that may govern a typical public company. Therefore, it would be better to provide the immunity clause in the Companies Act with an over riding effect over other laws. It is very difficult to prove negligence or guilt of a director and

²⁵ *Provide Immunity to ensure Quality Independent Directors on the Board: CII*. New Delhi, 02 February 2009. Available at http://www.cii.in/full_story.php?menu_id=79&news_id=2090

²⁶ Id

each case should be taken up according to the facts and circumstances. No clear cut formula can be applied to all situations. It is important that we act fast and provide a legal and stable solution to this problem.